

In hindsight, do you think reducing your exposure on drawdowns was a good idea?

It all depends on how confident you are about your edge. If you have a really strong conviction about your edge, then the best thing to do is sit there and take your lumps. If, however, you believe there is a reasonable chance that you might not have an edge, then you better have a safety mechanism that constrains your losses on drawdowns. My view on trend following was that I could never be sure that I had an edge, so I wanted a safety mechanism. Whereas for a strategy like convertible arbitrage, I had a high degree of confidence as to the payoff probabilities, so reducing exposure on drawdowns was unnecessary.

In a strategy like trend following where you couldn't accurately assess the probabilities, as you could in a strategy such as convertible arbitrage, what percent of the Kelly criterion was your bet size?

We didn't use the Kelly criterion at all in trend following because the bet size was such a small fraction of Kelly that it didn't make any difference. I would guess that we were probably using something equivalent to 1/10 or 1/20 of Kelly.

I understand that you looked at Madoff at an early point in his career. Can you tell me about that experience?

Back in 1991, one of the major institutional investors in the Princeton Newport fund asked me to review their allocation process for their pension fund. I spent several days at their offices reviewing their hedge fund managers. One of these managers was remarkable in that he printed positive returns of about 1 percent to 2 percent virtually every month. They had been invested with this manager for a few years. I asked them to show me the statements. I looked at the statements and very quickly determined that the manager was a fraud.

How did you reach that conclusion?

The first step was to look at what the manager said he did. His purported strategy was to buy a stock, buy a put a little below the stock price, and sell a call a little bit above the stock price. The premium he received for the call approximately balanced the premium he paid for the put. Buying